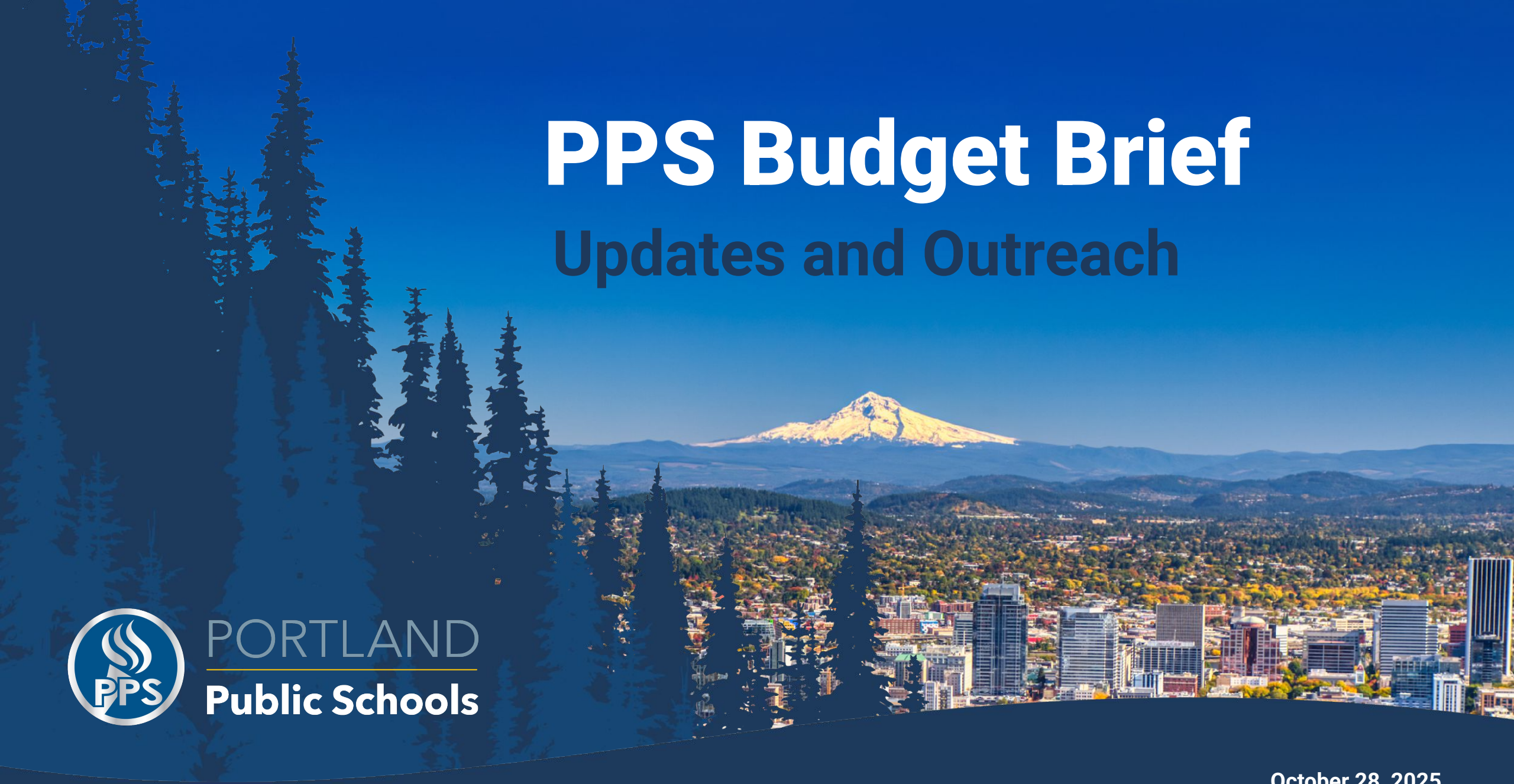
PPS Budget Brief

Updates and Outreach



PORTLAND
Public Schools

October 28, 2025

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

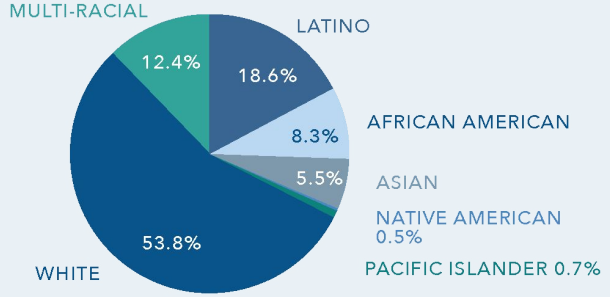
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630 STUDENTS IN DISTRICT SCHOOLS	794 STUDENTS IN COMUNITY BASED PROGRAMS	356 STUDENTS IN SPECIAL SERVICES PROGRAMS	1,306 STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate


PPS
TOGETHER,
WE RISE
WITH EXCELLENCE. WITH PURPOSE.

Budget Brief Items

- Closing 2024-25
- 2025-26 Budget Update
- 2026-27 Preliminary Outlook
- Budget Development
- Looking Ahead



Closing the 2024-25 Fiscal Year

- The independent auditing team from Talbot, Korvola, and Warwick, LLP, has completed 3 weeks of field work and testing
- The general fund balance of 5% will be met
- As shared with the Audit Committee, there may be a delay or shift in presentation of the FY25 Annual Comprehensive Financial Report due to the delay in release of federal guidance



Fiscal Year-End

['fī-skəl 'yir-'end']

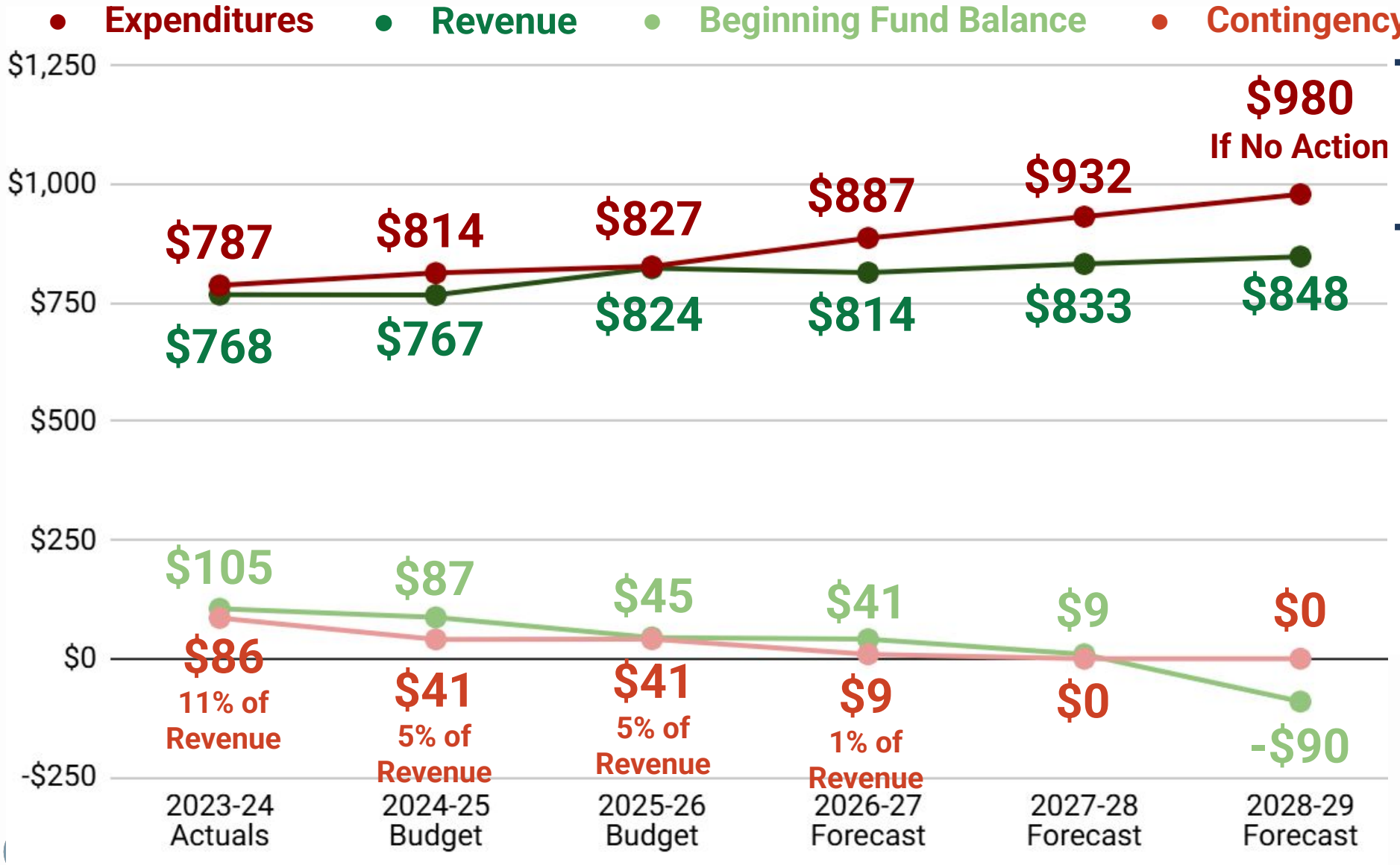
The completion of any 12-month accounting period other than a typical calendar year.

2025-26 Budget Update



- Currently analyzing September data
- Although enrollment is slightly higher than projected, still declining
- Spending controls still in place
  - Restricted hiring for vacant positions
  - Spending restrictions on goods and services

2025-26 Projected General Fund (In Millions)



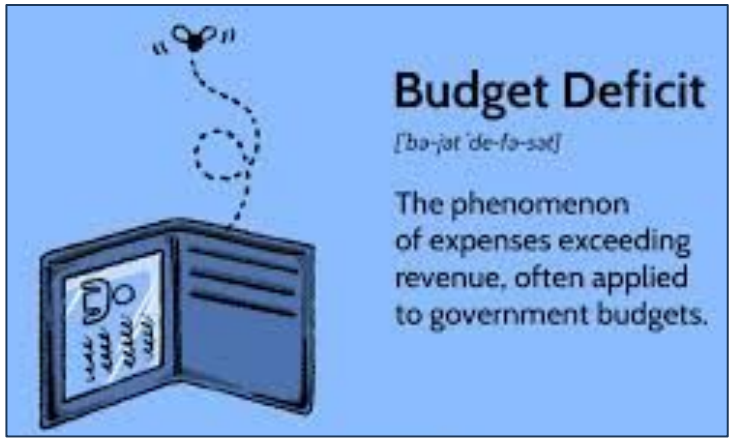
→ Expenses are increasing while revenue declines.

→ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

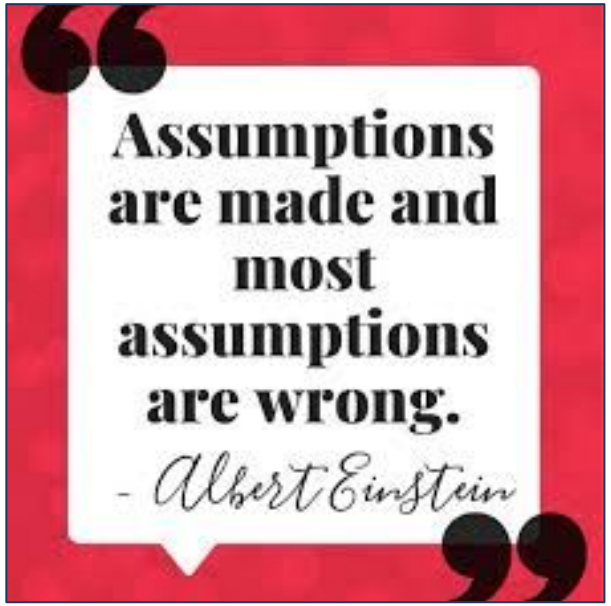
DRAFT: Estimates are preliminary.

2026-27 Preliminary Outlook

- Early estimates indicate that there is a **$50 million** projected budget shortfall for 2026-27
- This is reduced from the gap projected during budget development
- Early budget development:
  - Central Operations
  - Core staffing of schools review



Assumptions and Variables



- No remaining reserves are available
- Students will attend a full school year
- State and federal funds will remain stable
- Student enrollment will stay on the current trend
- No consolidations or school closures will occur in 2026-27

Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts

Looking Ahead

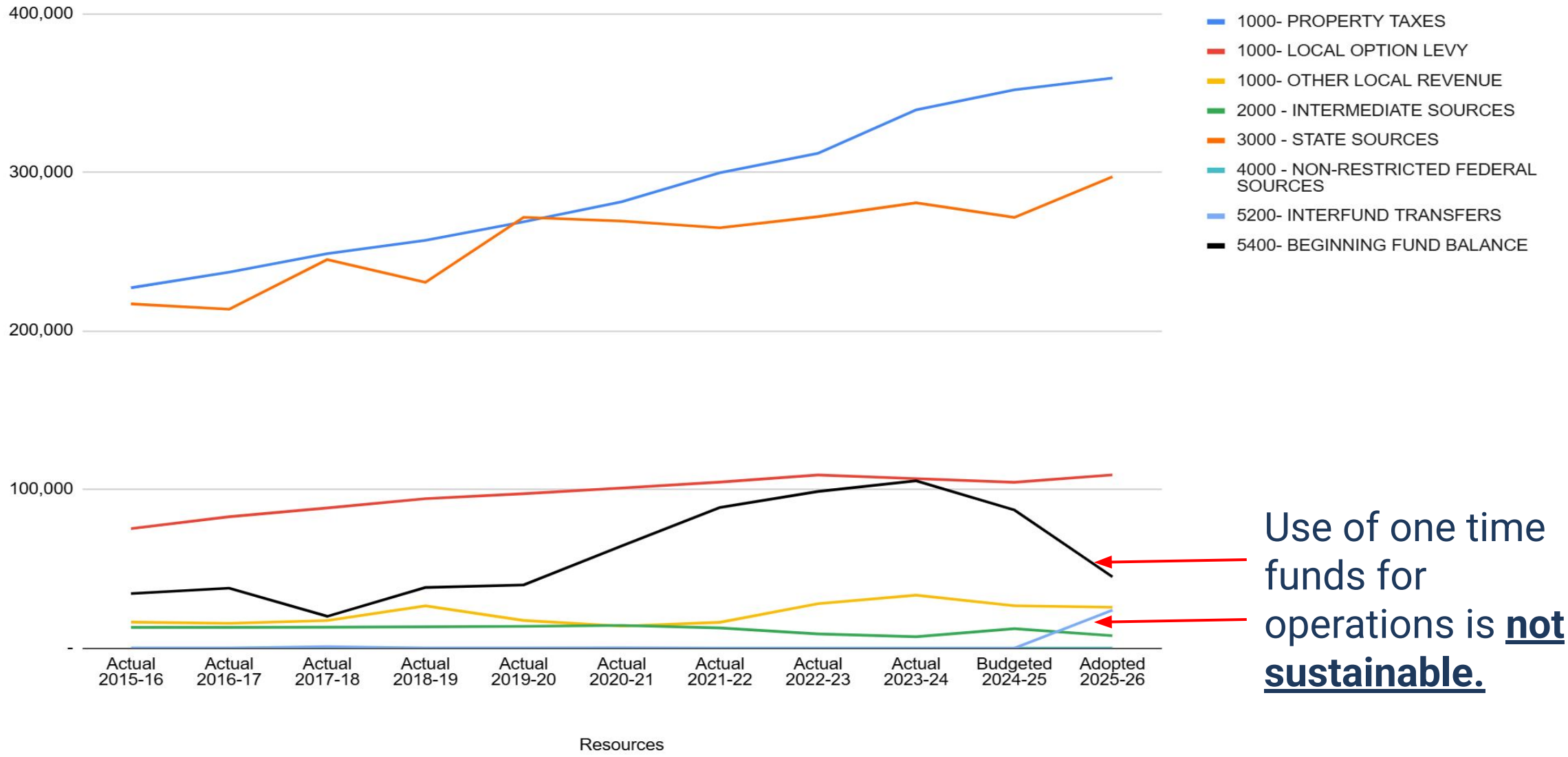
- 2024-25 Fourth Quarter Report
- 2025 Multnomah County Tax Rolls
- 2025-26 Updated Projections
- State Revenue Forecast (November)
- PERS 2027-29 Individual Employer Rates (December)



Questions?

Michelle Morrison
Chief Financial Officer
mimorrison@pps.net

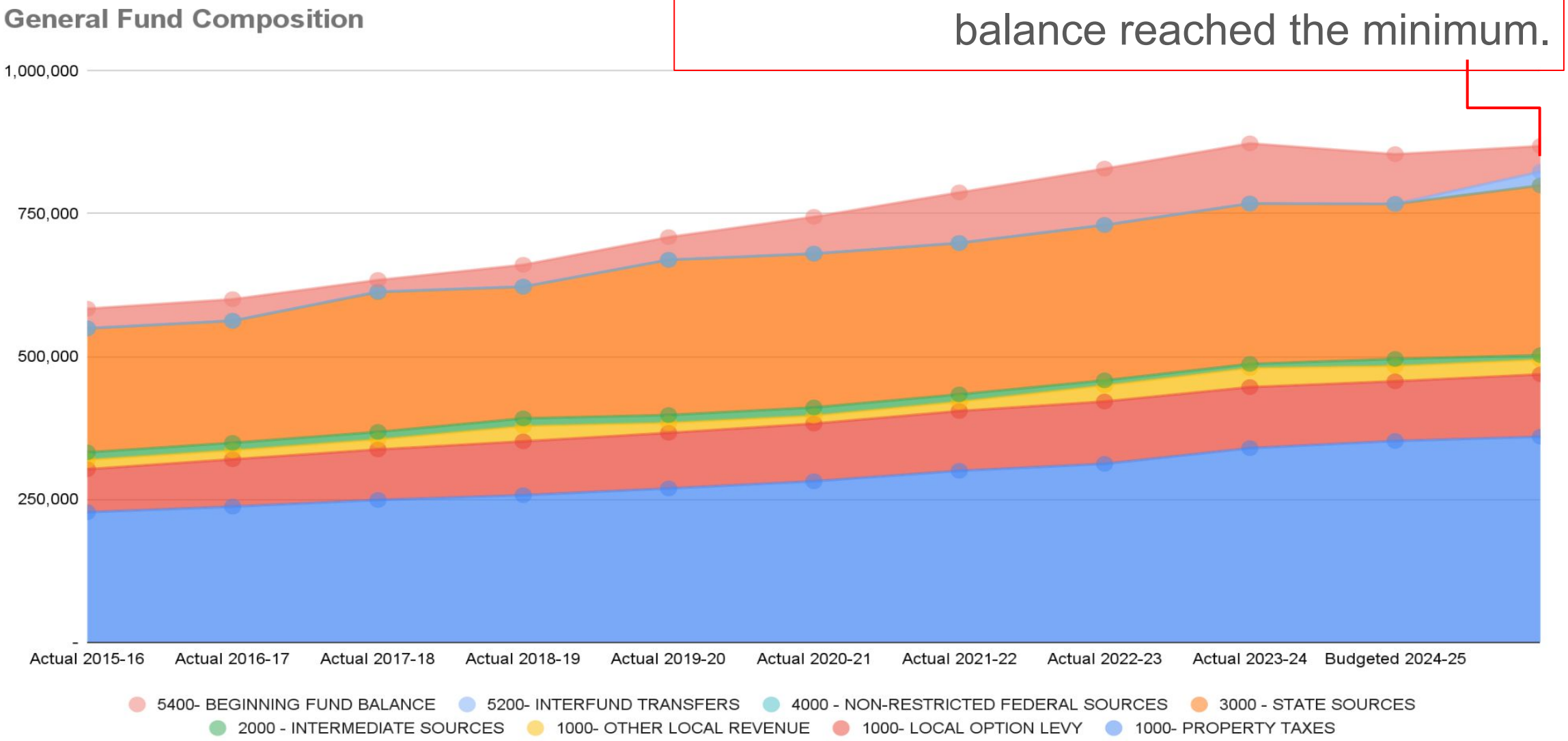
2015-16 to 2025-26 General Fund Revenue (In Thousands)



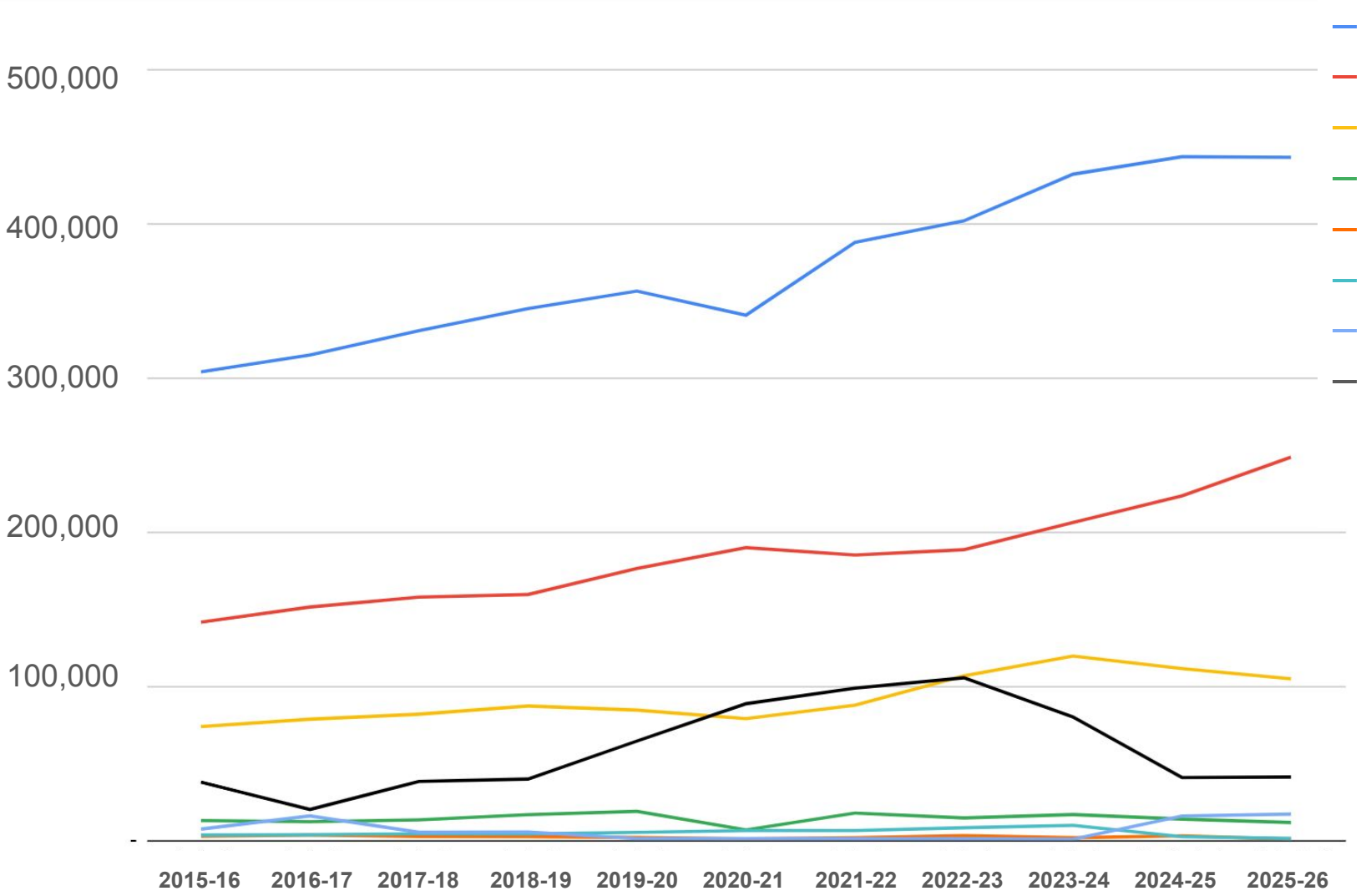
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

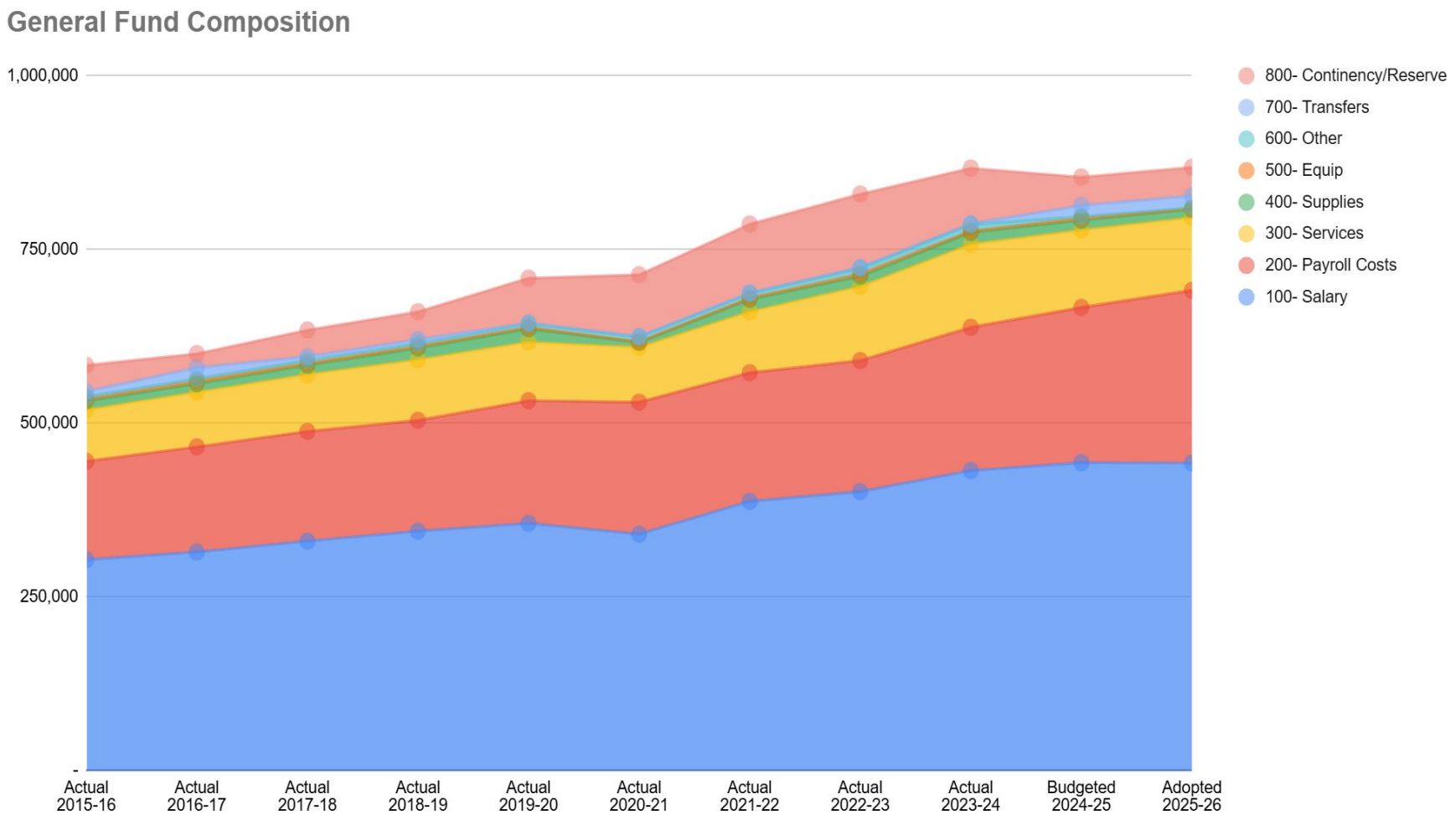


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.